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PREMIUM NOTES

UPSC — Economy Notes

UPSC Test Series — StuDy

High-yield facts, formulas and trap-radar — made for the real exam hall.

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UPSC — Economy Notes

National Income & Macro Basics

- GDP (market price) vs GNP: GNP = GDP + net factor income from abroad. NNP at factor cost = National Income. Base year currently 2011–12 (revision ongoing). GDP deflator = nominal/real × 100 (broadest inflation measure — all goods).
- GVA vs GDP: GDP = GVA + net product taxes. Sectors' GVA share (recent): services ~55%, industry ~28%, agriculture ~18% (but ~46% employment — the core structural imbalance).
- Fiscal terms: Revenue deficit, Effective revenue deficit, Fiscal deficit = total expenditure − (revenue receipts + non-debt capital receipts); Primary deficit = fiscal deficit − interest payments. Centre's fiscal deficit target path (FRBM glide): 4.5% of GDP by 2025–26 benchmark era.
- Monetary policy: MPC (6 members, 3 RBI + 3 govt; RBI Governor casting vote); inflation target 4% ± 2% (CPI combined, flexible inflation targeting since 2016); instruments — repo, reverse repo, SDF (standing deposit facility, floor), MSF (ceiling), CRR, SLR, OMO.

Banking, Money & Markets

- RBI functions: note issue (₹2+; ₹1 & coins — Ministry of Finance), banker to government & banks, lender of last resort, forex custodian (FERA→FEMA 1999). NPA terms: SMA (0/1/2), NPA = 90 days overdue; SARFAESI 2002; IBC 2016 (CIRP 330-day outer limit).
- Priority sector lending: 40% of ANBC for domestic banks (agriculture 18%, micro-enterprises 7.5%, weaker sections 12%). PSL certificates tradable.
- Payments/fintech: UPI (NPCI — also runs RuPay, IMPS, NACH), CBDC (e₹ — pilot retail & wholesale 2022), Account Aggregator framework, ONDC (open network for e-commerce).
- Markets: SEBI (1988/1992), primary vs secondary market, Sensex (30, BSE, base 1978–79=100), NIFTY (50, NSE, base 1995=1000), G-Secs, T-Bills (91/182/364 days), Call money (overnight).

External Sector & Trade

- BoP: Current account (trade + invisibles — services & remittances) + Capital account (FDI, FPI, loans, banking capital). CAD financed by capital inflows/forex reserves. India's forex = foreign currency assets + gold + SDR + IMF reserve tranche (RBI custodian).
- FDI vs FPI: FDI = lasting interest (≥10% voting typically), FPI = portfolio ('hot money'). Top FDI sources (recent): Singapore, Mauritius, USA. Sectors: services, computer software/hardware, trading.
- Trade pattern: largest merchandise deficit with China; top export items — engineering goods, petroleum products, gems & jewellery, pharma, electronics (rising). Remittances: India world No. 1 (~$125 bn+ recent year, UAE/USA top sources).
- Institutions: WTO (1995, Geneva — MFN, national treatment; Appellate Body non-functional since 2019), IMF (quota/SDR), World Bank Group (IBRD, IDA, IFC, MIGA, ICSID — India not in ICSID), ADB (Manila), AIIB (Beijing), NDB (BRICS, Shanghai).

Schemes, Reports & Indices

- Flagship items: PM-KISAN (₹6,000/yr, 3 instalments), Ayushman Bharat PM-JAY (₹5 lakh/family/yr, world's largest assurance scheme), PM Awas Yojana, Jal Jeevan Mission (Har Ghar Jal — 55 lpcd), PM-JDY (Jan Dhan — JAM trinity), MGNREGA (100 days, demand-driven, legal right), PM Mudra (loans up to ₹10 lakh; 'Tarun Plus' ₹20 lakh in Budget 2024).

- Reports/indexes: HDI (UNDP — India in medium category), Global Hunger Index (IFPRI/concern — methodology contested by GoI), Ease of Doing Business (discontinued 2021), Logistics Performance Index (World Bank), Global Innovation Index (WIPO — India top-40), SDG India Index (NITI Aayog).
- Committees: Urjit Patel (monetary policy framework), Bimal Jalan (economic capital framework/RBI surplus), Kelkar (tax/PPP), Rangarajan (poverty line), Tendulkar (poverty), P.J. Nayak (bank governance).

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